

# DataBel Customer Churn Analysis Report

## Executive Insights and Strategic Recommendations

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### 1. Executive Summary

This report analyzes customer retention and churn dynamics across DataBel's subscriber base of 6,687 customers. With a current global churn rate of 26.86% (representing 1,796 churned customers), identifying high-risk segments is critical. The analysis highlights severe exposure within month-to-month contracts, specific geographic hotspots (such as California), and competitive vulnerabilities regarding product offerings and pricing.

### 2. High-Level Performance Indicators (KPIs)

- **Total Customer Base:** 6,687 (Male: 3,379 / approx. 50.5% | Female: 3,301 / approx. 49.5%)
- **Total Churned Customers:** 1,796
- **Global Churn Rate:** 26.86%

### 3. Deep-Dive Analysis & Key Insights

#### A. Contract Structure: The Primary Risk Factor

The starkest contrast in the dataset lies within contract types:

- **Month-to-Month Contracts:** Experience a massive 46.29% churn rate.
- **Yearly Contracts:** Exhibit an incredibly stable 6.62% churn rate.

Short-term contract structures fail to retain customers.

#### B. Top Reasons for Customer Attrition

According to the Pareto distribution of churn reasons, competitors are aggressively poaching DataBel's base:

1. **Competitor Made Better Offer:** The leading cause of churn.
2. **Competitor Had Better Devices:** Second most prominent driver.
3. **Attitude of Support Person / Product & Price Dissatisfaction:** Significant internal factors indicating customer service friction and perceived low value for money.

#### C. Demographic Vulnerabilities

- **Age-Driven Churn:** The combo line/bar chart shows a sharp inflection point as customers age. Churn rates spike dramatically for older demographics, peaking aggressively among seniors (aged 65+), who

account for 26.88% of all churned individuals.

- **Gender Neutrality:** Total volume and churn rates remain relatively equal between Male and Female segments, indicating that gender-specific targeting is less critical than age and contract type.

#### D. Geographic & Behavioral Hotspots

- **Regional Outliers:** The geographic map visualizes a massive risk area in California (CA), where the localized churn rate hits an alarming 63.24%.
- **Payment Methods:** Customers utilizing Paper Check options display noticeably higher churn propensities compared to automated methods like Credit Card or Direct Debit.

## 4. Strategic Recommendations

- **Incentivize Contract Migration:** Launch an aggressive campaign targeted at month-to-month subscribers to transition them to 1-year or 2-year agreements (e.g., offering an introductory discount or free device upgrade). Moving a customer off a monthly plan directly minimizes churn risk.
- **Targeted Competitive Response:** Since competitors are winning on 'better offers' and 'better devices,' review the hardware upgrade policy and design competitive bundle pricing specifically to match market alternatives.
- **Senior-Focused Customer Experience:** Address the high churn rate among seniors (65+) by optimizing support channels—potentially creating a dedicated customer service tier to resolve their specific product/service friction points.
- **Geographic Intervention in California:** Investigate localized network performance, regional competitor campaigns, or localized customer service issues in California to understand why the churn rate there is more than double the national average.